

South Carolina

GENERAL INFORMATION

1. South Carolina **maintains** a list of eligible surplus lines insurers. (See Other Comments, #1.)
2. South Carolina **does not** have a Surplus Lines Association.
3. South Carolina **does not** have an Export List.
4. South Carolina **does** have an industrial insured exemption (see Appendix C) which will remain in effect. As of 7/21/2011, the NRRRA exempt commercial purchaser exemption is also effective.
5. **Surplus lines tax:** 6%, payable by broker (see Other Comments section #3).
6. South Carolina has not become affiliated with any tax sharing agreement but collects 100% of the surplus lines premium tax when it is the home state.
7. South Carolina **does not** allow the formation of domestic surplus lines insurers in the state.

ELIGIBILITY AND FILING REQUIREMENTS (ALIEN INSURERS ONLY)

Applicant must submit the following:

1. It must be listed with the National Association of Insurance Commissioners International Insurers Department (IID). Once approved to be added to the South Carolina DOI's list of Alien Eligible Surplus Lines Insurers, it must remain on the Quarterly Listing of Alien Insurers maintained by the IID. Should the South Carolina DOI receive notification from the IID that the applicant has been removed from its list, it will immediately be removed from the South Carolina DOI's list of Alien Eligible Surplus Lines Insurers.
2. A description of the business to be written in South Carolina and the names of the surplus lines brokers that it intends to have place the business.
3. Completed Form 1000 and Form 1027.

Once the above information is received and deemed acceptable, the South Carolina Certificate of Approval will be mailed to the applicant.

ELIGIBILITY AND FILING REQUIREMENTS (FOREIGN INSURERS ONLY)

1. A properly executed annual statement as filed with the insurance department of the applicant's home state and certified to that effect showing a minimum of \$15 million in capital and surplus. A quarterly statement

should also be included in an application submitted more than one month and 15 days after the end of the most recent quarter. If the most recent annual and quarterly statements are filed with the NAIC, then these items are not required to be submitted.

2. A current Certificate of Compliance/Authority from the insurance department of its home state which shows the lines of business that it is authorized to write in its home state.
3. A description of the business to be written in South Carolina and the names of the surplus lines brokers that it intends to have place the business.
4. Completed Form 1000 and Form 1027.

Once the above information is received and deemed acceptable, the South Carolina Certificate of Approval will be mailed to the applicant.

TYPES OF INSURANCE EXEMPTED FROM SURPLUS LINES REGULATION

Wet marine and transportation insurance, insurance independently procured, and life and health insurance and annuities. See S.C. Code Ann. § 38-1-20(56).

OTHER COMMENTS OR REQUIREMENTS

1. South Carolina's list of eligible surplus lines insurers is available at: <http://doi.sc.gov/581/Company-Information>.
2. A foreign or alien eligible surplus lines insurer is not permitted to write any class of business in South Carolina for which it is not authorized by its charter.
3. The 6% premium tax rate is comprised of a 4% state broker's premium tax and a 2% municipal broker's premium tax. Payments are not required to be made online. Users have the option of submitting a paper check. For all surplus lines medical malpractice policies, the broker must charge a 6% assessment to the insured, in addition to the premium tax.
4. Per S.C. Code Ann. § 38-45-110, surplus lines policies in South Carolina must contain the following disclosure statement:

"This company has been approved by the director or his designee of the South Carolina Department of Insurance to write business in this State as an eligible surplus lines insurer, but it is not afforded guaranty fund protection."
5. South Carolina allows for "international major medical insurance" to be written on a non-admitted basis.

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